

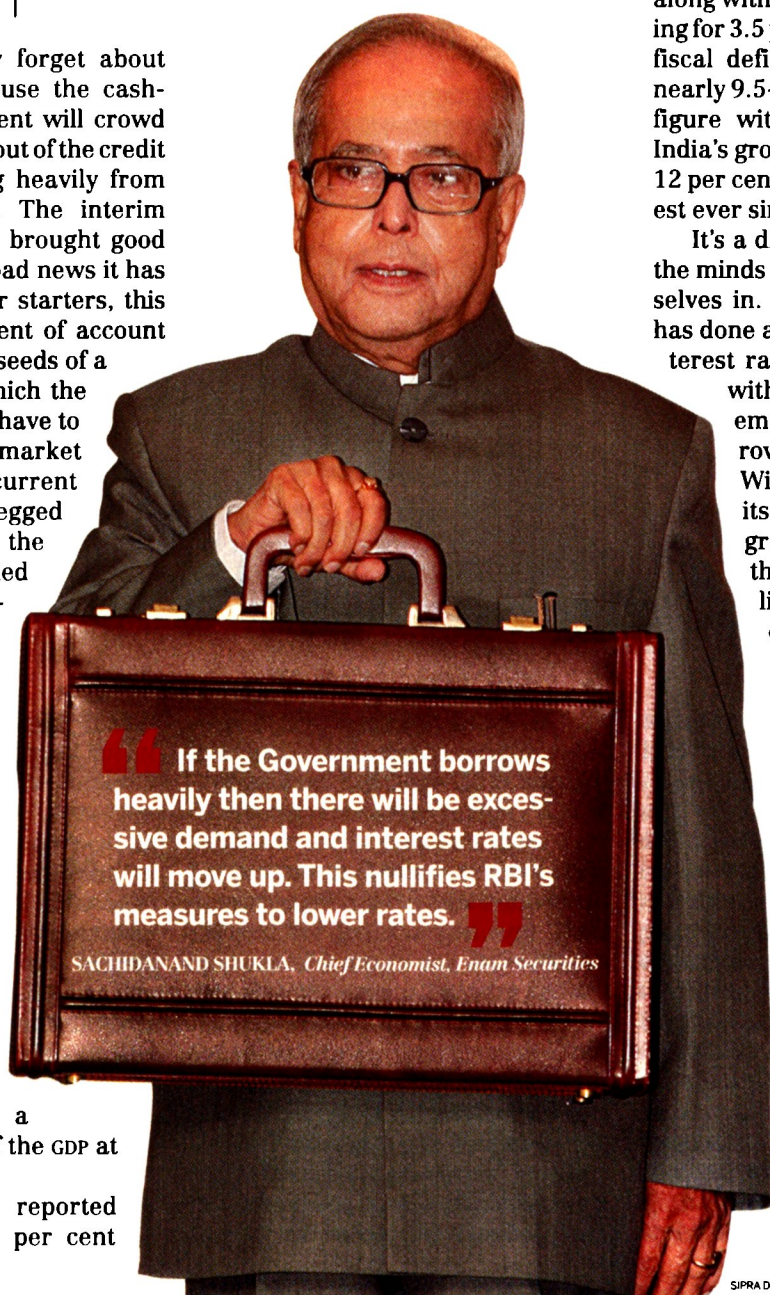
The Debt TRAP

A higher deficit and consequent borrowing by the government will crowd the private sector out and make an interest rate cut tough

| By Malini Bhupta |

India Inc can now forget about cheap credit because the cash-strapped government will crowd private borrowers out of the credit market by borrowing heavily from the banking system. The interim budget may not have brought good news to anyone, but bad news it has brought in plenty. For starters, this Government's statement of account shows it contains the seeds of a larger fiscal mess, which the next government will have to combat. With gross market borrowings for the current fiscal year 2008-09 pegged at Rs 3,06,000 crore, the Government has tripled its open market borrowing from the original Rs 1,33,300 crore—thus pushing up the fiscal deficit from 2.5 per cent to 6 per cent. Compared to the fiscal year that saw the UPA come to power, the NDA government had left behind a deficit of only 4.8 per cent of the GDP at Rs 1,32,103 crore while the present Government's interim budget has a deficit of 6 per cent of the GDP at Rs 3,26,515 crore.

If one takes the reported headline deficit of 6 per cent



along with off budget items accounting for 3.5 per cent of GDP, the Central fiscal deficit for the year rises to nearly 9.5-10 per cent. Combine this figure with the state deficit, and India's gross deficit stands at almost 12 per cent of GDP, which is the highest ever since 1991.

It's a dichotomous situation that the minds at North Block find themselves in. Though the Government has done all it can to bring down interest rates and flush the system with liquidity, it has itself emerged as the biggest borrower over the last one week. With the announcement of its latest borrowing programme of Rs 45,000 crore, the Centre will suck out the liquidity created by the RBI over the last one quarter.

So how does the Government's borrowing cause hardening of interest rates? Simply put, the Government raises money by issuing short-term and long-term government securities called bonds or gilts. When the demand for money goes up, the yield or interest on the paper also goes up. As the Government's financial position is not too good this year, the bond rates have moved up to 6.5

**THE INTERIM BUDGET
IS A HALF-HEARTED
EFFORT**

SIPRA DAS